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From champagne to Tax Reform, from luxury spending to the Zucman Wealth Tax

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1. Introduction

France is known all over the world as a country of style and elegance. It gives us luxury bags, exclusive perfumes, designer clothes, and vintage champagne, things made for very rich people. But even if France makes and sells these expensive products, being rich there is not always seen as something good. Sometimes, very rich people are seen with suspicion or even dislike.

In this situation, a new idea started a big public and political debate: a special tax for people with huge fortunes, called the "Zucman tax." But what is this tax, really? Why would a country want to make the rich pay even more? Is it fair to ask more from a few people just because they have more?

Even if this tax would apply to only a small part of wealthy people, the reactions were strong and mixed. The topic became more than just about money, it also brings up questions about values, fairness, and the future of France's economy. What does it mean to be rich in today's world? And what responsibilities come with that?

The article I will talk about shows this proposal and the reactions around it. It doesn't give one clear answer, but it helps us think about the connection between wealth and responsibility in a changing society.

2. Main Body

a. Paragraph 1+2: France's Wealth Tax Controversy

- **The author's opinion**

The author opens the article by showing a contradiction in France's attitude towards wealth. Although the country is known for producing luxury goods such as handbags and vintage champagne, it seems uncomfortable with the people who can afford them. He describes the current debate about a new wealth tax as a "national psycho-drama," suggesting that it is full of emotional tension. This new tax would target ultra-rich individuals and is part of France's effort to reduce its budget deficit. The author notes that the tax proposal came from economist Gabriel Zucman and would affect only a small part of wealthy people. He also points out that this idea comes after the previous wealth tax was abolished in 2018.

- **Personal opinion**

I find it interesting that France makes expensive and beautiful products, but it seems not to like very rich people who buy them. The author uses the word "psycho-drama" to show that the talk about the new tax is hard and full of feelings. The tax would only affect a few hundred very rich people, which seems fair to me because it does not affect everyone. But Bernard Arnault, the richest man in France, says this tax could "destroy" the economy. Does he really believe that, or is it just an excuse to avoid paying, no matter how rich he is?

- **The opinion of specialists**

First one: **Thomas Piketty**

On April 9th, 2025, Thomas Piketty spoke at the "Taxing Billionaires" conference. There, he shared his opinion about taxing billionaires and the Zucman Tax ideas. He explained: "A bigger tax system could have rates going up to 90%, using a fully progressive model, from the lowest to the highest incomes"[1].

Piketty also said that, besides taxes, we also need big changes in global money and trade systems.

This means if we don't tax wealth enough, rich people get richer and the gap grows. So, Piketty thinks we need higher taxes on very rich people to make things fairer. This supports France's plan to tax the super-rich.

Second one: **Warren Buffett**

Warren Buffett said that rich people in the U.S. should pay higher taxes to help reduce the country's debt and make the system fairer.

In The New York Times, he wrote: "My friends and I have been coddled long enough by a billionaire-friendly Congress. It's time for our government to get serious about shared sacrifice."[2]

He believes the tax system is too kind to the rich and that they should contribute more, which supports France's idea of taxing the super-rich more fairly.

b. Paragraph 3+4: The Zucman Tax-A Key Issue for the Left

- **The author's opinion**

The author thinks the Zucman tax is very important for left-wing politicians, who want it as a condition to support the 2026 budget. The author explains that France has a strong tax and welfare system, with taxes at 46% of the country's total economy, which is the highest in Europe. But even if taxes are high, the richest people in France pay less tax than others because they use special ways to pay less. The author shows that billionaires in France pay only about 27% tax, which is less than the average 50%. This helps explain why the Zucman tax is important in the debate.

- **Personal opinion**

I think it is unfair that the richest people in France pay less tax than others, even if the country has high taxes overall. It makes sense to have a special tax like the Zucman tax to make sure the very rich pay their fair share. This could help reduce the gap between rich and poor, even if this would cause a lot of controvercy.

- **The opinion of specialists**

First one: **Sébastien Lecornu**

[1] https://wid.world/news-article/thomas-pikettys-view-on-billionaire-taxation-and-wealth-redistribution/

[2] https://www.nbcnews.com/id/wbna44143776

The new Prime Minister doesn't support the Zucman tax. A source close to him said: "The new prime minister does not believe in the Zucman tax, which he considers dangerous for the economy and jobs." [3]

(Le Monde, 3 October 2025)

This shows that Sébastien Lecornu thinks the tax could hurt the economy and make things harder for businesses and workers. The tax, created by economist Gabriel Zucman, would make the 1,800 richest households in France pay at least 2% of their total wealth every year.

Critics of the tax say it might push wealthy people to leave France or take money from their businesses just to pay. Others believe it would scare away investors. France's biggest business group, MEDEF, warned:
"Treating wealth like something to hunt is like killing the goose that lays golden eggs!"[4]

This means they think taxing the rich too much could destroy what makes the economy grow.

Second one: **Joseph Stiglitz**

Joseph Stiglitz, a famous economist who won the Nobel Prize in 2001, believes that very rich people should pay much higher taxes—up to 70%—to help reduce the growing gap between rich and poor. He thinks this special tax would be fair and helpful for society. Stiglitz said, "People at the top might work a little bit less if you tax them more. But on the other hand, our society gains in having a more egalitarian, cohesive society." [5]

He explains that even if the richest work a bit less, the whole society benefits from being more equal and united. This idea shows how important Stiglitz thinks it is to make the tax system fairer for everyone.

c. Paragraph 5: Public Support and Political Labels

- **The author's opinion**

The author thinks the Zucman tax is more a symbol for the left than a big change right now. After Macron removed the old wealth tax to make France look better for rich people, some called him "the president of the rich." But the author shows that companies like LVMH (Louis Vuitton Moët

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[3] https://www.lemonde.fr/en/politics/article/2025/10/03/french-pm-lecornu-opens-door-to-limited-wealth-tax_6746064_5.html?utm_source=chatgpt.com

[4] https://www.lemonde.fr/en/politics/article/2025/10/03/french-pm-lecornu-opens-door-to-limited-wealth-tax_6746064_5.html?utm_source=chatgpt.com

[5] https://www.theguardian.com/news/2023/jan/22/joseph-stiglitz-economist-income-tax-high-earners-70-per-cent-inequality?utm_source=chatgpt.com

Hennessy) still pay a lot of taxes in France. Also, many people support the Zucman tax, even from different political groups. This means the idea is popular, even if it is controversial.

In short, the author says the tax is a strong political symbol, but the real tax situation is more complicated and many people agree with the idea.

- **Personal opinion**

I think it is interesting how the author shows that the Zucman tax is mostly a symbol for the left, to show they care about fairness. It is important that even though Macron removed the old tax to change France's image, many people still want a new tax for rich people. Also, even if Louis Vuitton Moët Hennessy pays a lot of taxes, people still want to tax the rich more. In my opinion, this shows that inequality is still a big problem for many. Finally, many different voters support the tax, which means people want change. And about the Mr. Macron's nickname, "the president of the rich", I think he totally deserves it because by canceling the old tax, he accidentally showed that he is on the "rich side", not on the side of a balanced economy for the country.

- **The opinion of specialists**

First one: **Paul Krugman**

Paul Krugman, a well-known economist and Nobel Prize winner, said, "Such a tax would be effective because it targets all forms of tax avoidance, regardless of their nature."[v] He means that this tax looks at every way rich people try to avoid paying taxes, no matter how they do it. He also said, "It would also be targeted – affecting mainly the wealthiest taxpayers who engage in aggressive tax optimisation."[6] This means the tax focuses mostly on the richest people who use special tricks to pay less tax. Krugman believes this tax is fair and can help stop the richest from avoiding their fair share.

Second one: **Virginie Calmels**

Virginie Calmels said on the show C dans l'air: "Aggressive taxation of the very rich risks discouraging investment and harming the trust investors have in the French economy."[7]

She means that if the government makes very high taxes for the richest people, those people might not want to put their money into businesses anymore. This could be bad because less investment can slow down the economy and cause fewer jobs. Also, if investors lose trust in France's economy, they might take their money somewhere else. So, Calmels is worried that too much tax could make the economy weaker.

d. Paragraph 6: Challenges and Criticisms

6 https://www.france24.com/en/france/20250913-zucman-tax-push-to-tax-the-super-rich-couldmake-or-break-france-s-next-government

7 https://www.france.tv/france-5/l-invite-de-c-dans-l-air/7501235-virginie-calmels.html

- **The author's opinion**

The author shows that the Zucman tax idea has many problems and questions. For example, no one knows how very rich families would react if the tax starts. Some French economists think the tax would bring much less money because rich people might avoid it by leaving the country or using other tricks. The author also asks how startup owners with "virtual" wealth will pay. Some rich people, like Bernard Arnault, say bad things about Zucman and call him a "left activist." So, the author seems to doubt if this tax can really work well or be fair.

- **Personal opinion**

I think the author is right to point out the problems with the tax. It's true that very rich families might find ways to avoid paying, and that makes it hard to collect a lot of money. Also, the question about startup founders is important because their wealth isn't always easy to measure or tax. I believe that before making such a tax law, the government needs to think carefully about these issues, so the tax is fair and works well without causing big problems.

- **The opinion of specialists**

First one: **Joseph Stiglitz**

Joseph Stiglitz said this in an interview with the French newspaper Le Monde on October 1st: "It's such a conservative tax, not a radical tax. These billionaires, if they're not making [an annual return of] 10%, something's wrong with them. A 2% minimum tax is saying they should pay a 20% income tax rate. Now, every country in the world is nominally charging 20%."[8]

This means that Stiglitz thinks the tax on billionaires is fair and normal, not extreme. He explains that billionaires usually make about 10% profit each year, so a 2% tax on their total wealth is like paying 20% on their income. Since many countries already charge about 20% income tax, this tax just makes billionaires pay their fair share, which is not too much or unfair.

Second one: **François Bayrou**

François Bayrou, for an interview on September 2, 2025:

"Households with high capital incomes leave France relatively little. The richest 1% emigrate less than the rest of the population."[9]

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[8] https://www.lemonde.fr/en/economy/article/2025/10/03/joseph-stiglitz-nobel-prize-winning-economist-france-should-enforce-zucman-tax-it-would-make-it-a-leader-to-follow_6746074_19.html

[9] https://www.huffingtonpost.fr/politique/article/sur-la-taxe-zucman-cet-argument-de-francois-bayrou-mis-a-mal-par-un-rapport-de-son-propre-conseil_254300.html

He means that rich people who make money from investments don't leave France as much as people think. So, the idea that new taxes will make many rich people run away might be wrong. But rich people still care about taxes, so the government should be careful when making new tax rules.

e. Paragraph 7 (last one): Navigating Between Left Demands and Centre-Right Support

- **The author's opinion**

The author says that Prime Minister Sébastien Lecornu has a hard job because he must balance the strong demands from the left with support from the center-right. The left wants a big tax to win a political victory, but Lecornu can't lose support from the center-right. The author thinks President Macron knows that political stability needs some deals with the left, but these deals might hurt France's image as a business-friendly country. The author believes this is a tricky situation that could cause problems for the economy.

- **Personal opinion**

I think the author is right that this is a tough situation for the Prime Minister. Balancing different political groups is never easy, especially when the left wants big changes and the center-right wants to keep things stable. I believe that if the government makes too many concessions to the left, it might scare away businesses and investors. But if they don't listen to the left, they could lose important political support. So, the Prime Minister needs to find a smart middle way that keeps both sides happy without harming the economy.

- **The opinion of specialists**

First one: **Jean-Francois Robin**

Jean-François Robin explained that many French people still have a strong sense of equality and want the government to take action against the very rich. He suggested that this feeling comes from France's revolutionary past, where people fought against social inequality.

He said, "France is still a revolutionary country, so the government needs to have some measures targeting the noblesse."[10]

This shows that, in his view, French society still supports policies that make the rich contribute more, reflecting a deep-rooted belief in fairness and social justice.

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[10] https://finance.yahoo.com/news/wealth-tax-tearing-france-apart-050000215.html?guccounter=1&guce_referrer=aHR0cHM6Ly93d3cuZ29vZ2xlLmNvbS8&guce_referrer_sig=AQAAANzlgMi9oeGkfOFbKkvr2nyfJk4w3td0Ip4GKrFfF_hWhCztrpi9OXba-MzoZpFvSZNTZ5zqTWQ37NYO0k_xl2hj6W0CPC-hY5I1bUC8P_aaqaZWkw9u1LJix0L-PkK2A3zzT-oDWzfCp58lyIH2QfFthX0yySY7-ikVJkTcKRFc

Second one: **Quentin Parrinello**

Quentin Parrinello explained that the issue of the super-rich avoiding income tax doesn't only happen in France, it's something seen in many countries around the world. He pointed out that this is a global problem, not just a national one.

He said, "It's not specific to France, this pattern of the super-rich being able to avoid paying personal income tax."[11]

This shows that tax avoidance by the wealthy is an international challenge, which means finding fair solutions requires cooperation between countries, not just changes in one nation's tax system.

3.Conclusions

What others said: Many well-known economists and public figures have shared their opinions about the idea of taxing the super-rich, like in Gabriel Zucman's proposed tax. Some strongly support it, while others warn it could hurt the economy.

Thomas Piketty believes that higher taxes on the very rich are necessary to make society fairer. He said tax rates could go up to 90% for the richest people, and that we also need big changes in the world's financial systems. Similarly, Nobel Prize winners Joseph Stiglitz and Paul Krugman also support higher taxes on billionaires. Stiglitz says such taxes would make society more equal and united, while Krugman thinks they would stop the richest from avoiding taxes unfairly.

Warren Buffett, one of the richest people in the world, agrees that the wealthy should pay more. He said in The New York Times that billionaires have been "coddled long enough" and that they should contribute more to help society.

However, not everyone agrees. France's new Prime Minister Sébastien Lecornu and business leader Virginie Calmels believe the tax could be dangerous for the economy. They warn that it might push investors away, reduce jobs, and make rich people take their money elsewhere. France's main business group, MEDEF, even said that overtaxing wealth is like "killing the goose that lays golden eggs."

On the other hand, François Bayrou argues that most rich people don't actually leave France because of taxes, so fears about mass emigration might be exaggerated.

Finally, Jean-François Robin and Quentin Parrinello focus on society's attitude. Robin says France still has a "revolutionary spirit," meaning people want fairness and justice through taxing the rich. Parrinello adds that tax avoidance by the wealthy is a global issue, not just in France, so countries must work together to solve it.

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[11] https://finance.yahoo.com/news/wealth-tax-tearing-france-apart-050000215.html?guccounter=1&guce_referrer=aHR0cHM6Ly93d3cuZ29vZ2xlLmNvbS8&guce_referrer_sig=AQAAANzlgMi9oeGkfOFbKkvr2nyfJk4w3td0Ip4GKrFfF_hWhCztrpi9OXba-MzoZpFvSZNTZ5zqTWQ37NYO0k_xl2hj6W0CPC-hY5I1bUC8P_aaqaZWkw9u1LJix0L-PkK2A3zzT-oDWzfCp58lyIH2QfFthX0yySY7-ikVJkTcKRFc

Overall, these voices show two sides of the debate: some believe taxing the rich is fair and necessary for equality, while others fear it could harm the economy and drive away investment.

What I said: I think the tax idea is good because it helps fix big differences between rich people and others. But I wonder.. this tax will be fair and usefull? Or it will hurt businesses and the economy and do nothing good.

What I liked about this article: I liked that the article shows all sides and how hard it is to make a new law that satisfies everyone. I learned how big inequality is and how hard it is to fix.

What I don’t like: Some parts were hard to understand because of many numbers and names. Also, it wasn’t clear for me if the tax will really be applied or how it will work in real life.

Pros and cons: Pros: The tax helps make society fairer and can bring money for health, education, or other needs.
Cons: The tax may cause rich people to leave the country and can hurt investments that create jobs.

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